Can’t BS the Bond Market: DS Roundtable 1

Extracted from: Damped Spring Roundtable

Source: Damped Spring (YouTube)

Published: 05-01-2026

⏱ **5-Minute Version:** Watch Key Excerpts

Speaker Bios

Andy Constan is founder of Damped Spring Advisors, a macro research firm serving institutional investors. Former head of portfolio strategy at Bridgewater Associates and senior PM at DE Shaw. Known for deep Fed plumbing expertise and cross-asset macro frameworks.

Jimmy Jude is a partner at Damped Spring and co-founder of DSMMA. Former option pit trader with decades of experience in technical analysis and order flow. Known for chart-based market timing and volatility structure analysis.

Nik Lentz is quantitative analyst at DSMMA and contributor to Damped Spring. Former UFC fighter (25x Top Ten veteran) turned systematic trader. Develops mathematical models and systematic indicators for market inefficiencies.

Executive Summary

The DS team’s consensus view: **you can’t BS the bond market**, and the Trump administration is about to learn this the hard way. Long-end yields are at range highs with “no support underneath”—one wrong move (Hassett Fed chair pick, SCOTUS ruling tariffs illegal) and bonds dump through, dragging equities with them. The team is unanimous: **Waller is the best pick** for Fed chair (dovish but respected), Hassett would trigger an immediate steepener, and the bond vigilantes will enforce fiscal discipline that politicians won’t.

The macro setup: economy weakening from strong Q3, zero job growth, disinflationary forces flowing through (rents rolling off, OER lagging), AI capex the only engine firing. The team expects **Fed cuts more than priced** (55bps through June is too hawkish). But the binary unknowns—Fed chair and SCOTUS tariff decision—keep them from pressing. If tariffs are ruled illegal, steepeners are the trade: 2-10s could widen to 120-250bps. Oil is a “screaming buy” if it gaps down on Venezuela news but holds 56 support.

PM implication: Steepeners are the principal risk trade regardless of catalyst. Raise cash into rallies, buy dips—the concentrated market (Mag7) creates fatter tails both ways. Gold above 4,000 is FOMO, not signal. Rest-of-world equities (Europe, Japan) still preferred over US.

Listen or Skip?

Verdict: Must-listen for rates/macro traders

Aspect	Rating
Signal density	★★★★★
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Rates traders, macro PMs, anyone positioning around Fed/SCOTUS catalysts **Skip if:** Looking for equity stock picks or long-term strategic allocation

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Key Quotes

1. > *“The only thing that I can see is the back of the yield curve right now. It still is in a dicey spot on the charts. Yields are right there at their range highs.”*

2. > *"There's a lot of BS underneath this market… the one thing they can't BS their way through is the bond vigilantes."*

3. > *"If he makes a mistake at this point they will kick him off the edge here and the speed of rates will be the thing that has potential to spook the market."*

4. > *"I think bonds snap down on that [Hassett pick]. Yield up."*

5. > *"If tariffs are legal, I think there's a real steepener play still… you could talk about 120 to 250 is the widest they tend to get."*

6. > *"At 3,500 I don't want to own gold and we're way past that. I think silver is even more ridiculous."*

7. > *"If the oil opens up and this Venezuela thing turns out not to be a big deal, I think oil is a screaming buy."*

8. > *"We're growing at 10% earnings growth… even if you get a multiple contraction of two points, you're breaking even."*

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1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	`Neutral-Bearish` (binary catalysts pending)
Conviction	`Medium`
Time Horizon	`Tactical (0-2m)`
Primary Domain(s)	`Rates` `Equities` `Oil` `Precious Metals`
Why Now?	Fed chair + SCOTUS tariff decisions imminent; long-end at range highs

Top 3 Investable Ideas:

1. **Steepeners (long 2s, short 10s)** — Principal risk trade; 2-10s targeting 120+ if tariffs illegal; add now
2. **Buy oil dip if 56 holds** — Venezuela gap-down that holds support = screaming buy; test 50s if fails
3. **Fade gold above 4,000** — Last $500 is FOMO not macro signal; no new positions here

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2) Key Investable Insights

Insight 1: Can't BS the Bond Vigilantes

- **Claim:** Long-end yields at range highs with no support; one catalyst (Hassett, tariffs illegal) triggers breakdown
- **Asset Class:** US Treasuries (10Y, 30Y)
- **Mechanism:** No technical support after July/Sep rallies; concentrated selling accelerates
- **Expression:** Steepeners; 10Y puts; avoid long duration
- **Trigger to Exit/Flip:** Waller named Fed chair, tariffs ruled legal and enforced
- **Confidence:** High

Insight 2: Fed Cuts More Than Priced

- **Claim:** 55bps through June is too hawkish given weakening economy and disinflation
- **Asset Class:** US Rates (front-end)
- **Mechanism:** Zero job growth, rents/OER rolling off, housing locked up, no immigration impulse
- **Expression:** Long SOFR; steepeners benefit from front-end rally
- **Trigger to Exit/Flip:** Hot NFP, sticky inflation prints
- **Confidence:** High

Insight 3: SCOTUS Tariff Ruling = Steepener Catalyst

- **Claim:** If tariffs ruled illegal, 2-10s could widen to 120-250bps
- **Asset Class:** US Treasuries (curve)
- **Mechanism:** Tariff revenue loss → deficit blowout → long-end dumps; Congress can't pass tariffs (filibuster)
- **Expression:** Large steepener position ahead of ruling
- **Trigger to Exit/Flip:** Tariffs ruled legal, or Congress passes tariff legislation
- **Confidence:** Medium-High

Insight 4: Oil Buy Signal on Gap-Hold

- **Claim:** If Venezuela news gaps oil down but 56 holds, it's a screaming buy
- **Asset Class:** Crude Oil
- **Mechanism:** $50 is inflation-adjusted cheap; US producers can't break even; technical support test
- **Expression:** BUY oil on gap-down that holds 56; stop below 55
- **Trigger to Exit/Flip:** Daily close below 56 → test low 50s/40s
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/ Flows
Fed chair announcement	Hassett = long-end dump, Waller = rally	Equity multiple re-rating	Bond-equity correlation positive	Steepening hurts carry	Consensus avoiding long duration
SCOTUS tariff decision	Illegal = steepener, deficit blows out	Trade partner renegotiations	Stock-bond disconnect	Refund tailwind if illegal	Steepeners not crowded
Mag7 concentration	Fatter tails both ways	Rotation to bonds/ commodities if AI sells	NASDAQ-rates elevated	N/A	FOMO keeps it bid, but no cushion
Oil at 56 support	Hold = buy signal, break = test 50s	Energy equities diverge	Oil-inflation correlation	N/A	Services bid before news

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle with binary catalyst overhang. Economy weakening, AI carrying, bond vigilantes asserting control.
- **Base Case (50%):** Waller named, tariffs legal. Bonds stabilize, dips bought in equities, steepener works slowly. Fed cuts 75-100bps through 2026.
- **Alt Case 1 (25%):** Hassett named + tariffs ruled illegal = bond rout, 10Y to 4.5%+, equities correct 10-15%, steepeners pay massively.
- **Alt Case 2 (15%):** Waller named + tariffs legal + strong data = risk-on, curve flattens, steepeners lose.
- **Alt Case 3 (10%):** SCOTUS punts (6-month delay) + uncertainty drags = vol spike, chop in all markets.
- **Anti-Thesis Trigger:** Strong NFP Friday, Fed turns hawkish, tariffs ruled legal with Congressional backup
- **Tail Risks:** Bond market breaks before Fed can react; oil collapses to 40s; Mag7 earnings miss

5) Hard Data & Verifiable Claims

- **Data:** 10Y yields at range highs; no support underneath after July/Sep moves
- **Data:** 55bps of cuts priced through June (team says too low)
- **Data:** 10% S&P earnings growth expected for 2026
- **Data:** 2-10s historical range: 120-250bps at widest

- **Data:** Oil at 56 support level; $50 = inflation-adjusted cheap
- **Data:** Gold above 4,000 after blowoff from 3,500
- **Data:** Q3 GDP at 3%+ real; Q4 likely weaker
- **Claim:** Zero job growth currently (not recession, but not positive)
- **Claim:** Economy weakening from very strong Q3
- **Claim:** Waller = best Fed chair pick (team unanimous)
- **Claim:** Hassett = bond market problem (yields snap higher)

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6) BS & Bias Filter

- **Incentives:** Andy runs Damped Spring (paid research); Jimmy/Nik run DSMMA. Positioned in steepeners, SOFR, short dollar.
- **Blind Spots:** Very US rates-centric; limited EM/equity discussion. May overweight Fed/SCOTUS binaries.
- **Track Record:** Called rest-of-world outperformance correctly; steepener thesis waiting on catalyst
- **Consensus Check:** Steepener view shared but not crowded; contrarian on gold (fading FOMO)
- **Sample Bias:** Heavy rates/plumbing expertise; defer to charts for timing

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7) PM Bottom Line

Action → Position / Hedge

Steepeners are the principal risk trade—load up before Fed chair and SCOTUS decisions. If Hassett is named or tariffs ruled illegal, 2-10s could blow out to 120-250bps. Front-end is supported (Fed cuts more than priced), long-end is vulnerable (no support, no buyers). Raise cash into equity rallies, buy dips—but recognize Mag7 concentration creates fatter tails both ways. Oil is a tactical buy if 56 holds on Venezuela gap-down. Gold above 4,000 is FOMO—no new positions.

Key watches: Fed chair announcement (January), SCOTUS tariff decision timing, NFP Friday, 10Y yield breakout, oil 56 support test, DXY stabilization.